

BOXIFY CUSTOMER CHURN ANALYSIS

01. Executive Summary

Boxify is an online subscription box service that delivers curated lifestyle products to customers on a recurring basis. Over the past three years, the company has experienced an increase in customer churn, with many subscribers cancelling their subscriptions before completing six months.

Customer churn directly impacts revenue, customer lifetime value, and long-term business growth. Understanding why customers leave and identifying at-risk customers are critical for improving retention and profitability.

02. Business Problem

A growing number of subscribers are cancelling their subscriptions, resulting in reduced recurring revenue and increased customer acquisition costs. Management requires a data-driven analysis to identify the key drivers of churn and develop effective retention strategies.

03. Business Objectives

- Analyze customer churn behavior over the last 3 years.
- Identify high-risk customer segments.
- Evaluate the relationship between engagement and churn.
- Compare customer lifetime value of active and churned customers.
- Recommend strategies to reduce churn by 5-10%.

The analysis covers customer subscription data from January 2023 to December 2025. The study focuses on customer demographics, subscription behavior, engagement levels, payment methods, and revenue generated before churn.

04. Dataset Overview

The dataset contains customer subscription records collected over a three-year period from January 2023 to December 2025. The data includes customer demographics, subscription details, engagement levels, payment methods, revenue generated, and churn information.

A total of 3,000 customer records were analyzed to identify churn patterns, customer behavior, and retention opportunities.

Data Constraints and Assumptions

- Data available for the last 3 years only (2023–2025).
- Monthly subscription renewals assumed throughout the analysis.
- Churn measured only at the end of a subscription cycle.
- No external behavioral or third-party customer data was used.
- Analysis is based solely on the provided customer subscription dataset.

05. Overall Business Performance

KPI SUMMARY

3K Total Customers	2K Active Customers	836 Churned Customers	202 High Risk Customers
18.90 Avg Subscription Duration	202 High Risk Customers	40M Total Revenue	54.76 Avg Engagement
54.76 Avg Engagement	18.90 Avg Subscription Duration	3M Revenue Lost	₹ 2.93M High Risk Revenue

The customer base consists of **3,000 subscribers**, of which **2,164** remain active while **836** customers have cancelled their subscriptions. This indicates a churn rate of approximately **27.9%**, suggesting that customer retention remains a significant business challenge.

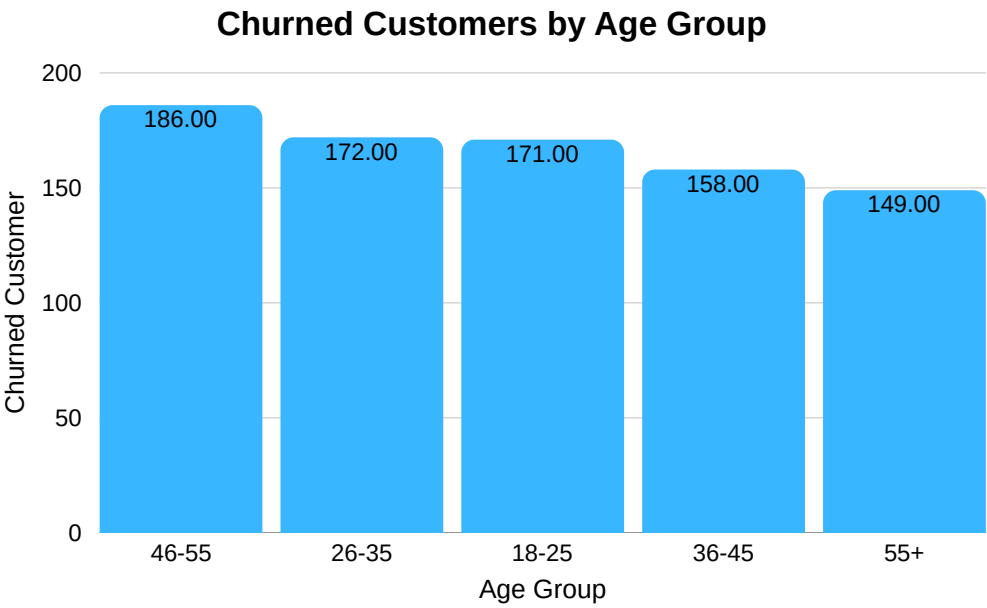
The business generated a total revenue of approximately **₹40 million** during the analysis period. However, customer churn has resulted in an estimated revenue loss of **₹3 million**, highlighting the financial impact of subscriber cancellations.

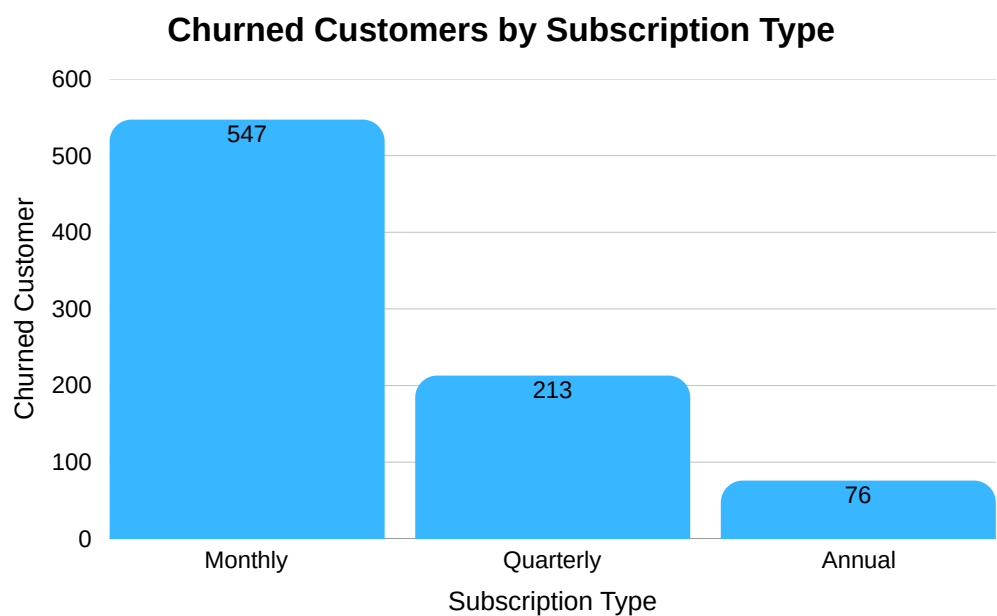
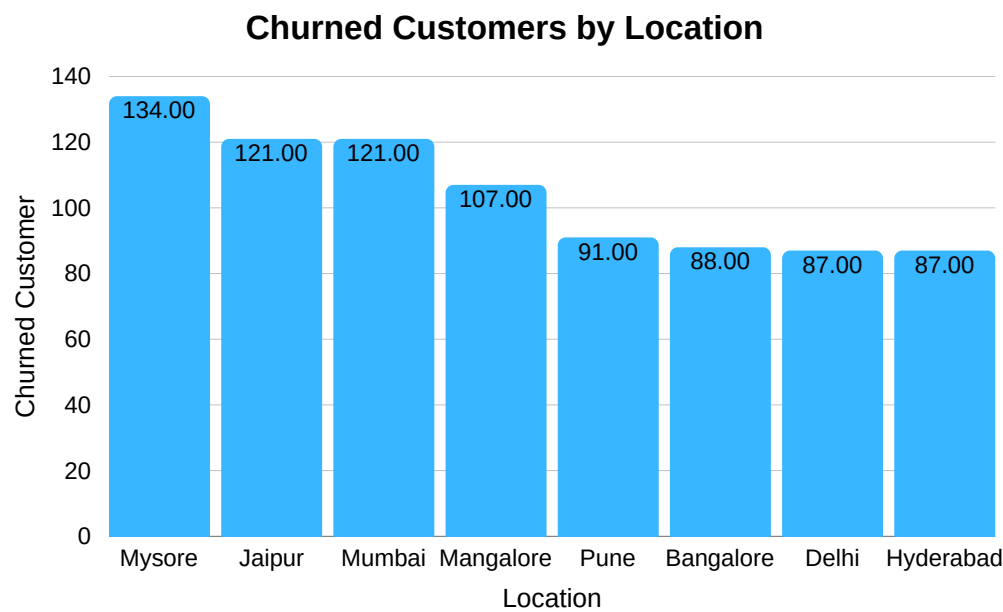
Customer Lifetime Value analysis reveals a substantial difference between active and churned customers. Active customers generate an average CLV of **₹17.16K** compared to only **₹3.78K** for churned customers. This demonstrates that retaining existing customers is significantly more profitable than acquiring new customers.

The analysis also identified **202** customers as High Risk based on their engagement levels and subscription behavior. These customers collectively represent approximately **₹2.93 million** in revenue, making them a critical target segment for retention initiatives.

While the overall customer base remains healthy, the churn rate of **27.9%** represents a significant opportunity for improvement. Retaining the 202 identified high-risk customers could protect nearly **₹3 million** in future revenue while increasing overall customer lifetime value.

06. Customer Segment Analysis





Age Group Analysis

The highest number of churned customers was observed in the 46-55 age group (186 customers), followed by the 26-35 age group (172 customers) and the 18-25 age group (171 customers). Although churn is distributed across all age groups, middle-aged customers represent a significant portion of subscription cancellations.

Location Analysis

Mysore recorded the highest churn with 134 cancelled customers. Jaipur and Mumbai followed with 121 churned customers each, while Mangalore reported 107 churned customers. These locations should be prioritized for customer retention initiatives as they contribute disproportionately to overall churn.

Subscription Type Analysis

Subscription type emerged as the strongest churn indicator. Monthly subscribers accounted for 547 churned customers, significantly higher than Quarterly subscribers (213) and Annual subscribers (76).

This pattern suggests that customers with shorter subscription commitments are more likely to cancel, while Annual subscribers demonstrate stronger loyalty and retention.

Recommended Actions

Monthly Subscribers

- Offer upgrade discounts to Quarterly plans.
- Provide loyalty rewards after 3 months.

High-Churn Locations

- Launch location-specific retention campaigns.
- Conduct customer feedback surveys.

Age-Based Campaigns

- Create targeted engagement offers for customers aged 46–55.

Business Question

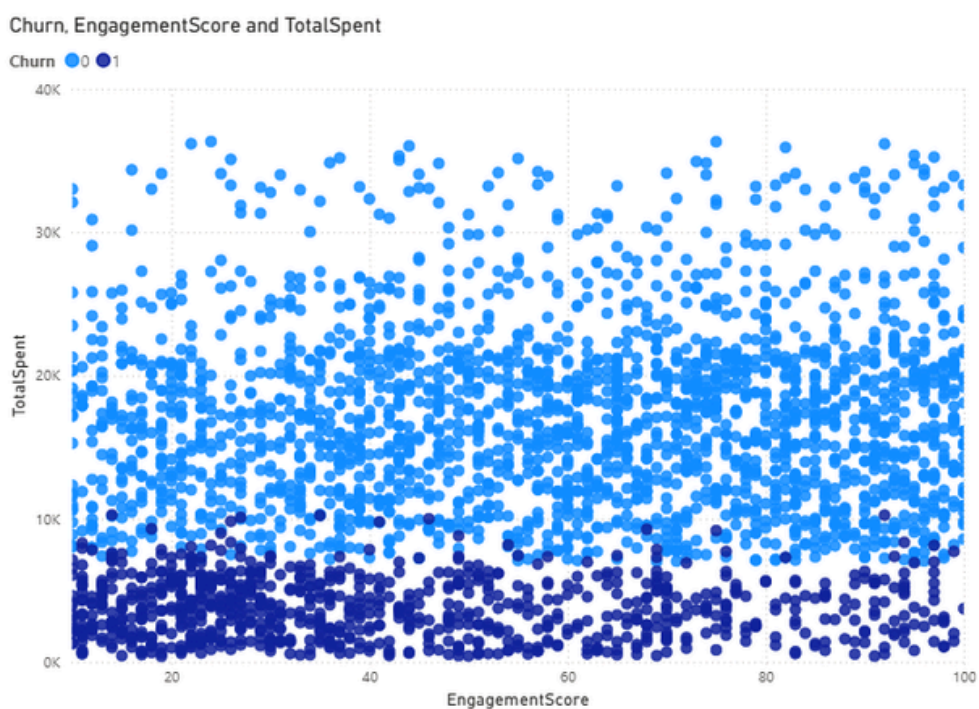
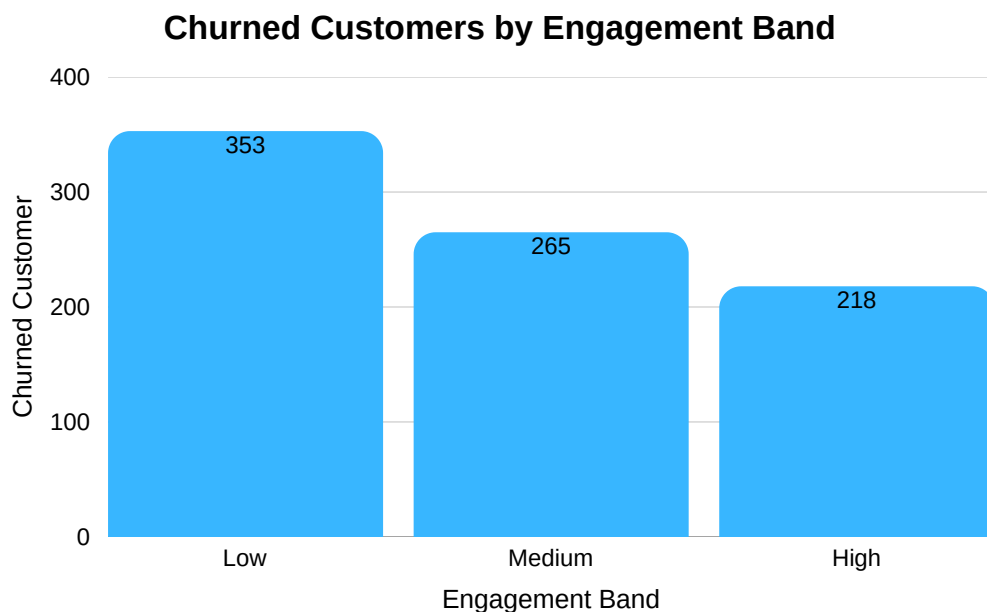
Which customer segments have the highest churn?

- Customers aged 46–55 recorded the highest churn volume (186 customers).
- Mysore experienced the highest churn among all locations (134 customers).
- Monthly subscribers represent the highest-risk subscription segment, accounting for 547 churned customers.

Conclusion:

Monthly subscribers from high-churn regions such as Mysore, Jaipur, and Mumbai should be prioritized for retention campaigns because they contribute the largest share of customer losses.

07: Engagement & Churn Analysis



Engagement Band Analysis

Customers classified within the Low Engagement category recorded the highest number of cancellations with 353 churned customers. Medium Engagement customers accounted for 265 churned customers, while High Engagement customers recorded the lowest churn volume at 218 customers.

This trend demonstrates that customer engagement is a strong indicator of churn risk. As engagement increases, the likelihood of cancellation decreases.

Spending Behavior Analysis

The scatter plot comparing Engagement Score and Total Spend shows that customers with higher engagement levels generally contribute greater revenue over their subscription lifetime.

Active customers tend to be distributed across higher spending ranges, while churned customers are concentrated within lower revenue bands. This suggests that engaged customers not only stay longer but also generate greater business value.

Business Question Answer

How does engagement level correlate with churn?

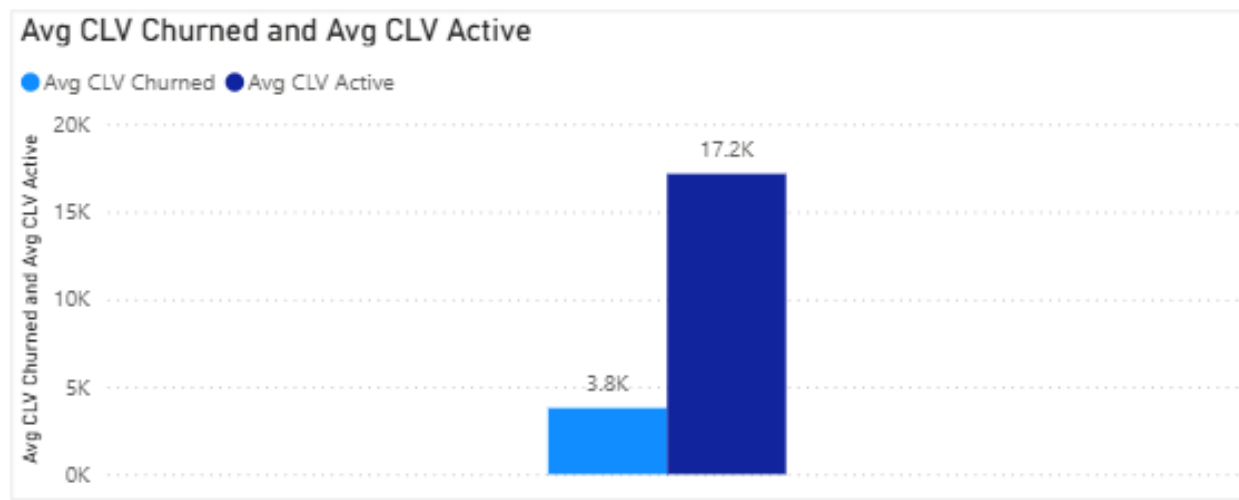
The analysis reveals a strong negative relationship between engagement and churn.

- Low Engagement customers generated the highest churn volume (353 customers).
- High Engagement customers experienced substantially lower churn.
- Customers with higher engagement scores also tend to generate greater revenue.

Conclusion

Customer engagement is one of the strongest predictors of churn. Increasing customer interaction and participation can significantly improve retention and reduce future cancellations.

08: Customer Lifetime Value Analysis



Customer Lifetime Value (CLV) measures the total revenue generated by a customer throughout their subscription journey. Comparing the lifetime value of active and churned customers helps quantify the financial impact of customer retention.

The analysis reveals a significant difference between active and churned customers. Active customers generate substantially higher revenue over their lifetime, demonstrating the importance of maintaining long-term customer relationships.

Average CLV Comparison

Active customers generate an average Customer Lifetime Value of ₹17.16K, while churned customers generate only ₹3.78K.

This indicates that active customers contribute approximately 4.5 times more revenue than customers who cancel their subscriptions.

Revenue Impact of Churn

Customer churn has resulted in approximately ₹3 million in lost revenue. This loss represents unrealized future revenue that could have been retained through effective customer engagement and retention strategies.

The findings clearly demonstrate that customer retention directly influences business profitability and long-term growth.

Business Question Answer

What is the average lifetime value of churned vs active customers?

- Average CLV of Active Customers = ₹17.16K
- Average CLV of Churned Customers = ₹3.78K

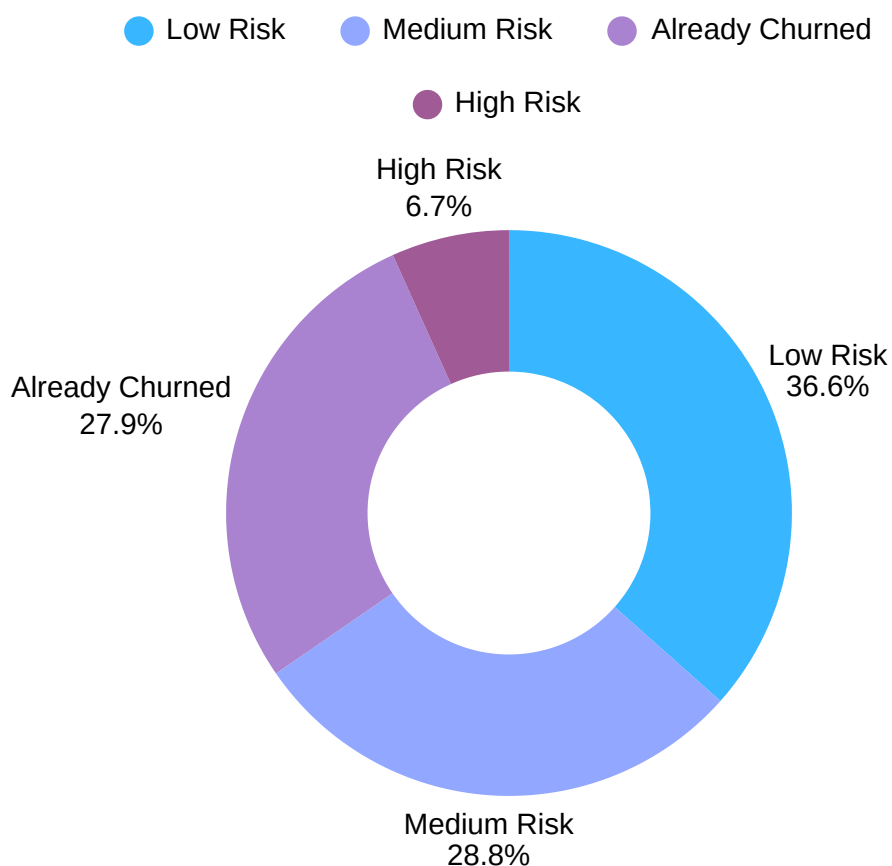
The analysis shows that active customers contribute significantly more revenue over their lifetime.

Conclusion

Active customers generate approximately 4.5 times more value than churned customers, making customer retention one of the most effective ways to improve profitability.

09: Predictive Churn Analysis

Total Customers by Risk Category



A predictive churn framework was developed using historical customer behavior, engagement levels, subscription patterns, and churn history. The objective is to identify customers who are likely to cancel their subscriptions before churn occurs. Customers were classified into four categories: Low Risk, Medium Risk, High Risk, and Already Churned. This segmentation enables proactive retention efforts and helps prioritize customers requiring immediate attention.

Risk Category Distribution

The majority of customers fall within the Low Risk and Medium Risk categories, indicating a relatively stable customer base. However, **202 customers have been identified as High Risk and represent the most vulnerable segment of active subscribers.**

These customers exhibit characteristics commonly associated with churn, including low engagement levels and short-term subscription commitments.

Subscription Risk Analysis

Monthly subscribers account for the largest share of customers across all risk categories. This confirms previous findings that shorter subscription commitments are associated with increased churn vulnerability.

Quarterly and Annual subscribers demonstrate lower churn risk, suggesting stronger customer loyalty and commitment.

Business Question Answer

What is the average lifetime value of churned vs active customers?

- Average CLV of Active Customers = ₹17.16K
- Average CLV of Churned Customers = ₹3.78K
- The analysis shows that active customers contribute significantly more revenue over their lifetime.

Conclusion

Active customers generate approximately 4.5 times more value than churned customers, making customer retention one of the most effective ways to improve profitability.

10: Retention Strategy & Recommendations

The analysis identified several key churn drivers, including low customer engagement, monthly subscription plans, and high-risk customer segments. To reduce churn and improve long-term customer retention, Boxify should implement a combination of short-term interventions and long-term customer loyalty initiatives..

Quick Wins (0–3 Months)	Long-Term Strategies (3–12 Months)
1. Re-Engagement Campaigns Target low-engagement customers through personalized emails, reminders, and push notifications.	1. Loyalty Rewards Program Reward customers at 3, 6, and 12-month milestones with discounts and exclusive benefits.
2. Monthly-to-Quarterly Upgrade Offers Provide discounts and bonus boxes to encourage longer subscription commitments.	2. Personalized Subscription Experience Recommend products and offers based on customer preferences and engagement patterns.
3. Retention Discounts Offer special renewal discounts to customers identified as High Risk.	3. Predictive Churn Monitoring Continuously identify and target customers likely to churn before cancellation occurs.
4. Customer Feedback Surveys Collect feedback from churned and at-risk customers to identify improvement opportunities.	4. Customer Segmentation Strategy Develop targeted campaigns for different age groups, locations, and subscription plans.
5. Referral & Engagement Incentives Provide reward points, referral bonuses, and engagement challenges to increase activity levels.	5. Customer Success Program Build long-term relationships through proactive support, exclusive content, and premium member benefits.

Prioritize the **202 High-Risk Customers and Monthly Subscribers through re-engagement campaigns and upgrade incentives**, while building a long-term loyalty and predictive retention framework to sustainably reduce churn and improve customer lifetime value.

Business Question Answer

What retention strategies should be implemented?

The most effective retention strategy combines:

- 1.Re-engagement campaigns for low-engagement customers.
- 2.Upgrade incentives for Monthly subscribers.
- 3.Loyalty rewards for long-term subscribers.
- 4.Personalized recommendations and offers.
- 5.Predictive churn monitoring for high-risk customers.

Conclusion

Customer retention can be significantly improved through targeted engagement initiatives, loyalty programs, and proactive churn prevention strategies focused on high-risk customer segments

11: Conclusion

This analysis examined customer churn patterns within Boxify's subscription business over a three-year period from 2023 to 2025. The objective was to identify **high-risk customer segments**, understand the relationship between engagement and **churn**, **evaluate customer lifetime value**, and **recommend strategies to improve retention**.

The **findings indicate that customer churn is primarily driven by low engagement levels and Monthly subscription plans**. Customers with lower engagement scores demonstrated significantly higher cancellation rates, while Annual subscribers showed stronger retention and higher lifetime value.

The analysis also identified **202 High-Risk Customers** representing approximately **₹2.93 million** in potential revenue. By implementing targeted retention campaigns, loyalty programs, and predictive churn monitoring, Boxify can proactively reduce churn and improve long-term customer profitability.

Overall, the results demonstrate that **customer retention presents a significant opportunity to increase recurring revenue**, improve customer lifetime value, and strengthen long-term business growth.

Business Question	Key Finding
Which customer segments have the highest churn?	Monthly subscribers, customers from Mysore, and customers aged 46–55 recorded the highest churn.
How does engagement correlate with churn?	Lower engagement levels are associated with significantly higher churn rates.
What is the average lifetime value of churned vs active customers?	Active customers generate ₹17.16K CLV compared to ₹3.78K for churned customers.
Can potential churners be identified?	Yes. 202 customers were identified as High Risk using engagement and subscription behavior.
What strategies should be implemented?	Re-engagement campaigns, subscription upgrades, loyalty programs, and predictive churn monitoring.

Immediate Actions

- 1.Launch retention campaigns for the 202 High-Risk Customers.
 - 2.Increase engagement among low-engagement customers.
 - 3.Promote Quarterly and Annual subscription plans.
 - 4.Implement personalized offers and renewal incentives.
 - 5.Monitor churn indicators regularly.
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